were seen as more valuable than financial rate of return as a guide for investment decisions.

These assumptions in the 1950s–1970s led to the design of inappropriate policies, legislations and regulations that made industries produce costly, non-competitive and poor-quality products. An increasing number of controlling measures were required to protect these enterprises with high tariffs and directed credit. These assumptions ultimately failed India's foray into industrialization.

Government Investment Goes Bust Even in Basic Industry

The First Plan, which devoted more resources to agriculture and irrigation than industrialization, was considered reasonably successful. The Second Plan, which was heavily focused on industry, especially heavy industry, did not succeed as much. The Third Plan was a disaster, also because of two wars and two massive droughts.

At the onset, the planning apparatus assumed the government would be able to raise tax revenues in surplus of revenue expenditure and would thus be able to generate surplus from current revenues for making large investments for India's industrialization.

The First Plan outlay was Rs 2069 crore for the Centre and state governments over the period 1951–56. This outlay was planned to be financed to the extent of Rs 1414 crore from surplus normal revenue and capital receipts of public authorities, including loans and grants received from abroad. From the Third Plan onwards, surplus from current revenues disappeared and borrowings were raised not only to finance Plan expenditure but also to fund the current revenue gap.

The Plans started relying on borrowings and 'deficit financing' right from the beginning to fund 'planned investment'.

The paucity of resources led to underinvestment. Unproductivity of investment in the public sector led to cost overruns and deteriorating